PATRIZIA

Building Communities & Sustainable Futures

PATRIZIA Sustainability Report 2021



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SECTION 1

A message from the Co-CEO



Dear reader,

Although dominated by COVID headlines, 2021 was also a year in which sustainability came to the fore in our industry. Despite being a longstanding agenda item, I believe the last year will mark a subtle inflection in terms of our stakeholder's expectations.

Sustainability has been in the spotlight for some time in our industry – however regulatory developments in 2021, such as the EU Sustainable Finance Disclosure Regulations (SFDR) change everything. The SFDR (and pending UK equivalent regulations) create a new level of product transparency (and comparability). This has raised the bar significantly for the industry in two regards, firstly a product if not sustainable, must be labelled as such, and secondly any claim to sustainability will, in the coming years, need to be backed with reported KPIs as proof.

The ability to more easily compare and contrast sustainability credentials at the product level is encouraging PATRIZIA, and the market in general, to strengthen their ESG capabilities. Importantly it has also flipped the tone of product design debates from 'why' should we sell sustainable products to, 'why not'. Logically, as PATRIZIA and the industry operate in a post-SFDR market, the prospect of pitching "unsustainable" products to our clients will become an increasingly unattractive option.

Our goal in this document is to highlight the steps we are taking to bolster our sustainability performance, to best meet unfolding legal requirements, fiduciary duties and client needs. The most effective way we can do this is to ensure that sustainability is simply a part of doing business. As such sustainability has become part of the day-to-day responsibility of all PATRIZIAns.

2021: How did we do?

Over the last 12 months, we decided to challenge our business through the creation of four PATRIZIA-wide long-term sustainability goals (listed below). These goals were intended to be aggressive yet realistic, and our aim is to exceed, and not just meet them.

LONG TERM SUSTAINABILITY GOALS



Become a leading sustainable investor in real assets with a consistent UN PRI 5-star rating from 2025 onward and the majority of our assets certified under our Create Better programme.



Be an employer of choice in the Real Asset sector.



Become a leading global impact investor in the Real Assets sector with a meaningful part of our AUM in impact investments[1] by 2035.



Achieve net zero carbon[2] status across our corporate operations and real asset portfolio by 2040 or earlier, with a clear ambition to execute as fast as external and stakeholder requirements permit.

[1]As designed in the PATRIZIA Impact Investing policy, which broadly aligns to Article 9 of the EU Sustainable Finance Disclosure Regulation (2088/2019) and equivalents in other jurisdictions.
[2]Includes operational emissions and embodied carbon for new developments and major refurbishments, excluding the 'sunk' embodied carbon of the standing portfolio. Further details of the commitment, including a granular breakdown of the scope of the target, can be found in the PATRIZIA Net Zero Carbon Strategy paper.

Following the creation of these goals, we leveraged the ESG Committee to co-create a comprehensive set of mid-terms and annual KPIs, for maximum results.

We also launched an internal engagement programme, Create Better, which over time will help our colleagues develop a 'sustainability mindset' and ingrain this thinking into everything they do.

We had nine funds participate in GRESB (Global Real Estate Sustainability Benchmark). We had four green star labels awarded, including excellent management and robust ESG scores across all funds.

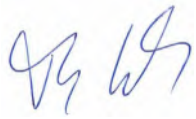
Importantly, we strengthened our efforts to drive GRESB and self-identified improvement areas within our products.

The PATRIZIA Foundation, with more than 20-year track record of building better futures for children, played a strong role in delivering our social mandate in 2021. Exciting programmes such as the Lake District Challenge and the PATRIZIA Run engaged a wide range of PATRIZIAns and raised around €120,000 for projects.

We formed the PATRIZIA ED&I Council to further buttress our social efforts and are looking forward to rolling out the roadmap for 2022 and beyond.

Finally, I would like to highlight that this report contains PATRIZIA's first publication of a CO_2 footprint, for our own operations and our client portfolio. And although this represents an exciting milestone, it is but one of many more to come as we continue to refine our data and baseline.

At PATRIZIA, Building Communities & Sustainable Futures is more than just our purpose: it is our essence. Over the next few chapters, you will find a comprehensive overview of the impact we make and how we challenge ourselves to continue improving for a sustainable future.



Thomas Wels, Co-CEO and Chair of ESG Committee

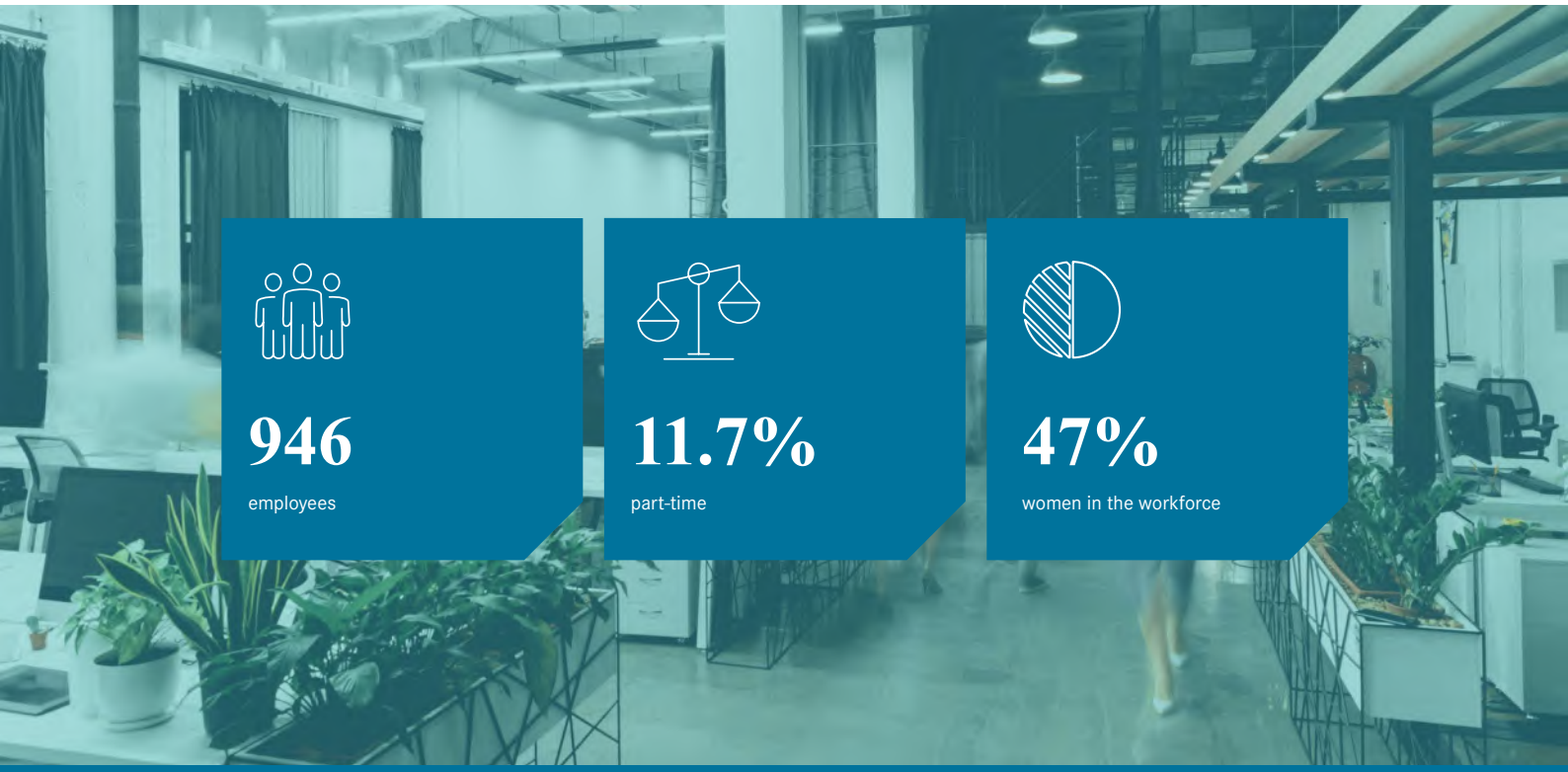


SECTION 2

PATRIZIA at a Glance

Our Employees

Diversity is a key value for PATRIZIA, and the diverse perspectives enabled by our incredibly international and multicultural business are key to our long-term success.

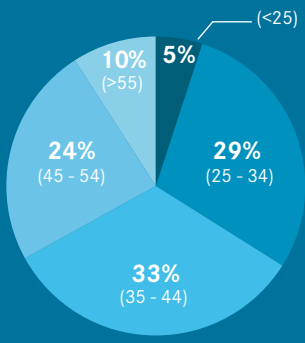


946
employees

11.7%
part-time

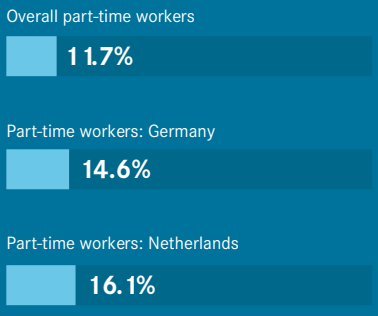
47%
women in the workforce

BREAKDOWN OF AGE IN YEARS



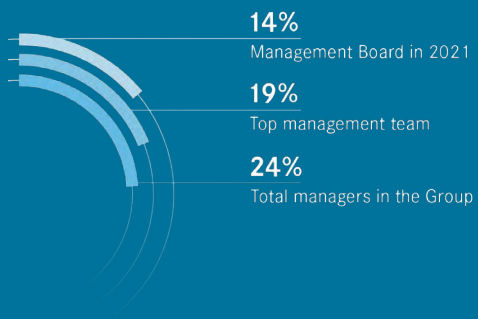
The diversity of nationalities, cultures and languages is also a major strategic advantage for PATRIZIA. In the reporting year, the workforce had a total of 32 different nationalities.

BREAKDOWN OF PART-TIME WORKERS



To improve employees' work-life balance, various forms of part-time work are available at all locations.

PATRIZIA SHARE OF WOMEN IN MANAGEMENT

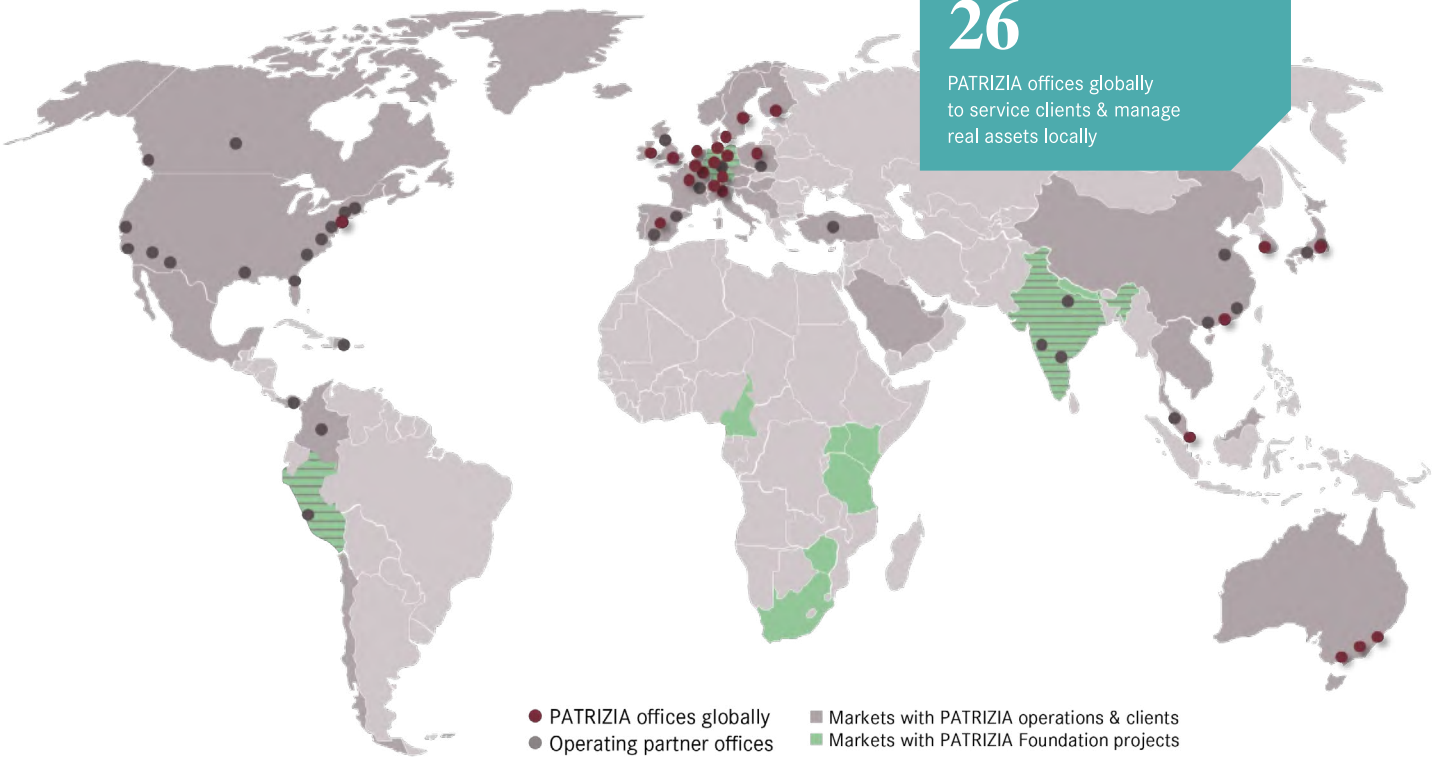


PATRIZIA has initiatives aimed at supporting a more gender balanced representation and talent pipeline with the introduction of a talent programme.

Local in Europe & Connected Globally

PATRIZIA offers investment solutions with global reach and opportunity

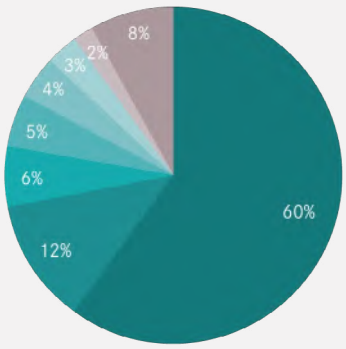
26
PATRIZIA offices globally to service clients & manage real assets locally



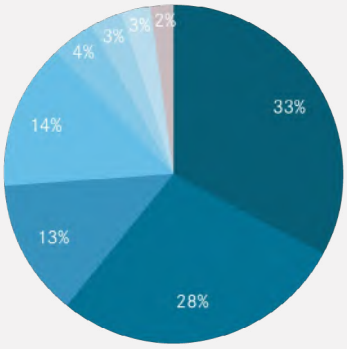
Assets Under Management in detail

48.6 bn EUR
AUM

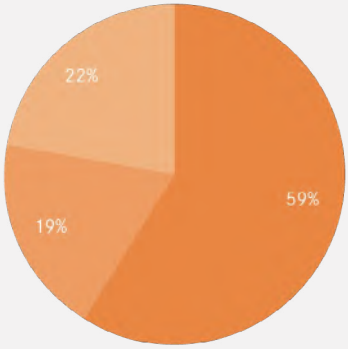
AUM BY GEOGRAPHY



AUM BY SECTOR



AUM BY RISK STYLE



Support for external initiatives

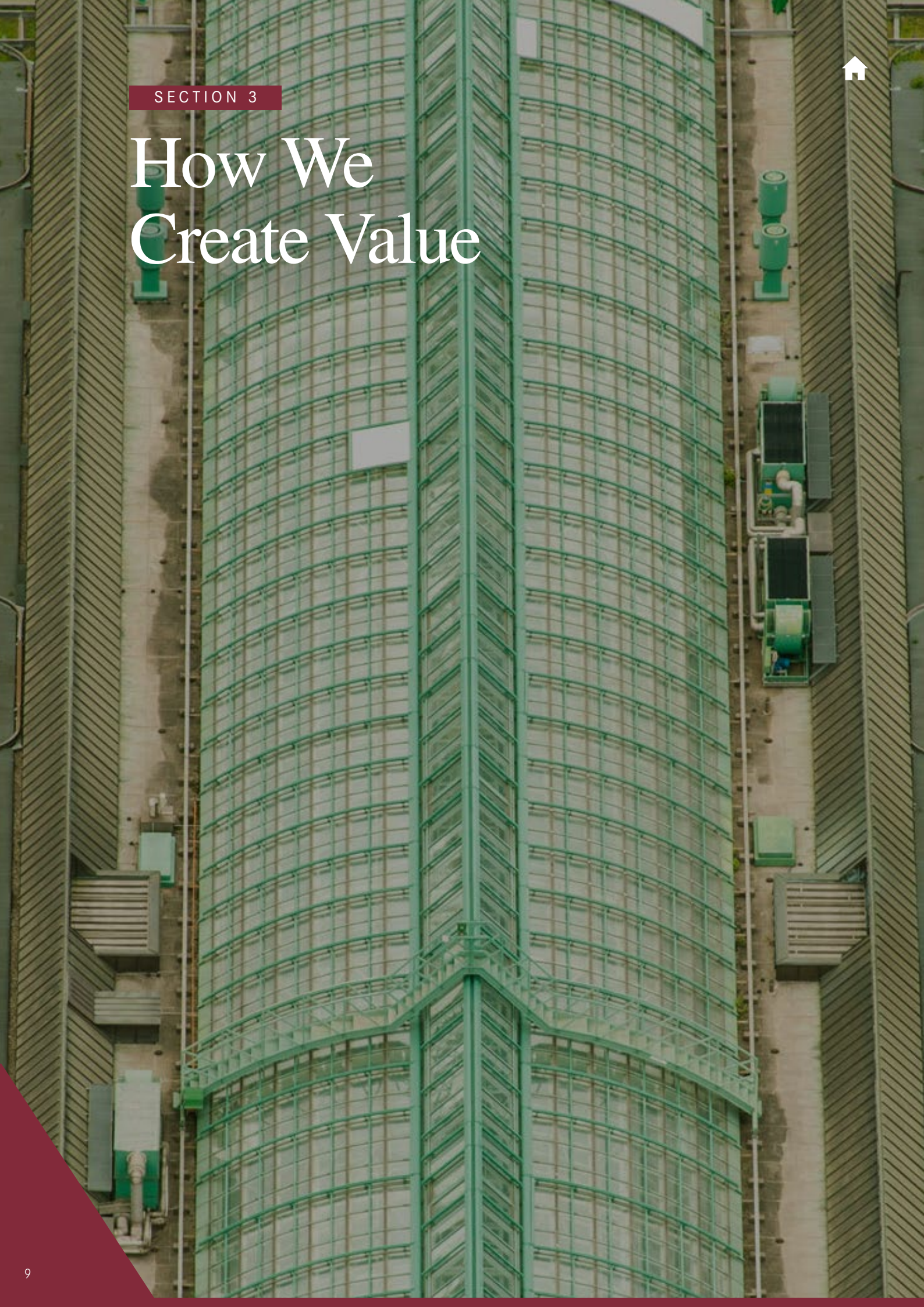
Signatory of:

PRI Principles for Responsible Investment

GRESB

SUSTAINABLE DEVELOPMENT GOALS

TCFD TASK FORCE ON CLIMATE-RELATED FINANCIAL DISCLOSURES



SECTION 3

How We Create Value

How we create value for society

There are a number of global challenges we need to overcome in order to support the UN SDGs and create value for our stakeholders. Here's our approach to tackling these challenges.

INPUT

We are mindful of how we use resources in our business activities.

- **Resources**
  - Building material (e.g., timber, pre-existing building structures, cement)
  - Utility supplies (electricity, gas and water)
- **Human Resources**
  - 946 FTE within PATRIZIA
  - Employee volunteering for PATRIZIA Foundation
  - Employee training programmes
- **Financial Resources**
  - PATRIZIA's equity of EUR 1.3 bn

OUR APPROACH

Every PATRIZIAn seeks to Create Better outcomes to build communities & sustainable futures.



OUTPUT

We create value for all our stakeholders and strive to understand all outputs.

- **Physical Assets**
  - Offices
  - Living spaces
  - Commercial spaces
  - Retail spaces
  - Infrastructure
- **Human Assets**
  - Skilled employees
- **Financial Assets**
  - Tax revenue
  - Support of charitable organisations – like PATRIZIA Foundation - with up to 1% of the Group's operating income annually.
  - Increased value for pension funds invested in PATRIZIA funds

IMPACT

We are committed to making a positive impact.

Building communities

- New PATRIZIA ED&I Council
- Ca. 250,000 children in need assisted through contributions to the PATRIZIA foundation

Sustainable futures

- Over 70% of our managed real estate powered by renewable energy (saving over 50.000 CO_2e* p.a.).
- We calculated our carbon footprint and developed our Net Zero Carbon Strategy

These are just a few examples of our projects.

*Carbon dioxide equivalent

SECTION 4

UN Sustainable Development Goals (SDGs)



UN SDGs

PATRIZIA commits to actively contribute to the overall goal of the UN Sustainability Development Goals (SDGs) to create a better future for all. The SDGs are a universal set of goals, targets and indicators for global development that serve as the guidelines for our Sustainability Strategy and the Group's understanding of what responsible practices are. While supporting the SDGs in their entirety, we identify the following as the most relevant, and closest to the Group's values. These will be included in our corporate and fund-specific sustainability strategies.



SDG 11 Sustainable Cities and Communities

SDG 11 reflects the core of real estate investment management. We invest in cities and developments to create inclusive, safe, resilient, and sustainable communities. Having started off with ground-up development and management of residential real estate, we've focused on healthy communities since the very beginning. When we invest or develop, we aim to fulfil this human need for community and maintain it, long-term.



SDG 7 Renewable Energy and SDG 13 Climate Action

SDG 7 and SDG 13 are fundamental to creating sustainable cities and communities. Reducing dependence on fossil fuel is as vital for the environment as it is for society. As such, SDG 7 Renewable Energy is pivotal to our purpose of Building Communities & Sustainable Futures. In alignment with the sub-targets of SDG 7, we also aim to increase the percentage of renewable energy used in our portfolio (target 7.2 Increase Global Percentage of Renewable Energy), by both purchasing green energy and generating renewable energy on-site.



SDG 3 Good Health and SDG 4 Quality Education

SDG 3 and SDG 4 are primary values of corporate social responsibility. At PATRIZIA, we have always prioritised health and well-being for both clients and employees, as well as society at large. Our aspiration to link our business to a wider social purpose has been deeply carved into our roots for over 30 years, and health is a key part of this. Internally, we have several initiatives aimed at improving and maintaining our staff's health. Meanwhile, our diversified portfolio includes affordable residential real estate and alternative asset classes that are directly linked to the health sector, such as care homes. Education is of equal importance, and we support the career development of our employees by continuously offering courses and training, both internally and externally. This is available for all employees, apprentices and trainees – including entry-level opportunities for university graduates.



SDG 5 Gender Equality and SDG 10 Reduced Inequalities

Acting responsibly has always been an important part of how we do business at PATRIZIA. To make a meaningful difference in the communities where we live and work, we have started out on a new journey to advance Equity, Diversity and Inclusion (ED&I) in our organisation, industry and more widely in society. Diversity and equality are key targets for board and management composition. PATRIZIA actively promotes equality and inclusion initiatives.



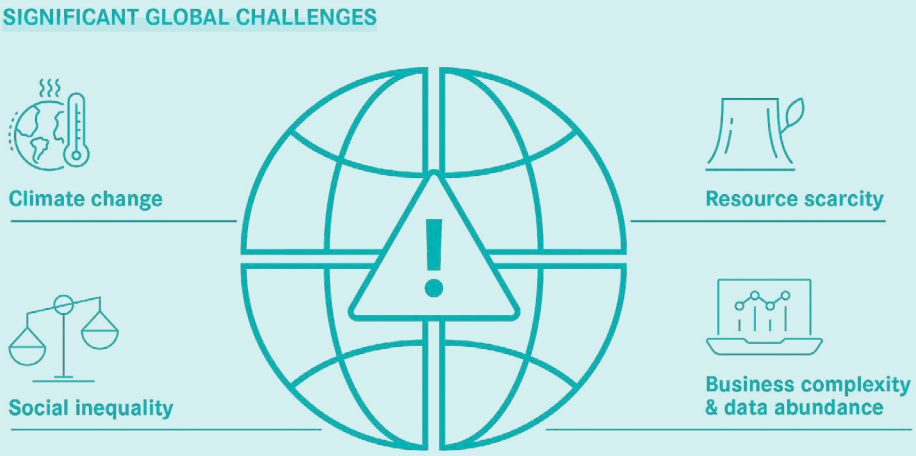
SECTION 5

Our Sustainability Strategy

Overview

Sustainability is about taking actions that create positive impact both today and in the future. Real assets play a pivotal role in society. Across residential, commercial, logistics, and infrastructure they serve basic human needs such as housing, workspaces, healthcare, energy, connectivity, and transportation. The impact we have as the real assets industry – both on the natural environment and the people that live within it – cannot be downplayed or ignored. At PATRIZIA we know that behaving and investing responsibly is the right thing to do for our stakeholders, our communities, and the planet. Our purpose of Building Communities & Sustainable Futures is at the very heart of our business.

Humankind is faced with significant global challenges, such as:



Our Sustainability Strategy maps out how we address these global challenges in our business and confirms PATRIZIA's commitment to:



This approach is exemplified by our corporate goals, which define our areas of focus, each underpinned by mid-term goals and actionable annual targets. At the core of our Sustainability Strategy is ESG integration, which is essentially the incorporation of sustainability-related factors, often categorised as ESG, into all decision-making processes.

We regularly review and update internal governance policies to ensure that they reflect topical ESG issues that affect the corporate oversight of our business and funds. This commitment includes the development of key performance indicators to quantify sustainability performance and align reporting with internationally recognised standards, namely UN PRI, GRESB and INREV. Our strategy is underpinned by principles that we base on the UN Principles for Responsible Investment (UN PRI), in alignment with the UN Global Compact.

In keeping with our corporate social responsibility, we commit to fair Human Resource (HR) policies and procedures, and leading labour standards towards health, well-being, and safety policies. We aim for a diverse workforce, fair remuneration and hiring and promoting without any discrimination. To further our ongoing commitment to diversity and inclusion an Equity, Diversity and Inclusion (ED&I) Council was established in 2021. The primary focus was foundation building, agreeing an approach suitable to the PATRIZIA business model and building a core team of champions to drive the ED&I agenda forward in 2022 and beyond.



SECTION 5.1

Benchmarking

UN PRI and GRESB

Our investors entrust us with their capital. To provide the utmost transparency around how we manage it, we give periodical reports on the performance of our investments.

For us, the transparency of our sustainability performance is just as important as the transparency of the financial performance of our products. That is why we closely align with established industry standards to give direction to and monitor the overall progress of the PATRIZIA Sustainability Strategy as we strive for best-practice investor sustainability reporting.

We are a signatory of the UN Principles of Responsible Investment (UN PRI) and officially support the Task Force on Climate-related Financial Disclosures (TCFD). Chosen funds participate in the annual Global Real Estate Sustainability Benchmark (GRESB) and prepare an annual ESG report in compliance with the INREV Sustainability Reporting Guidelines.

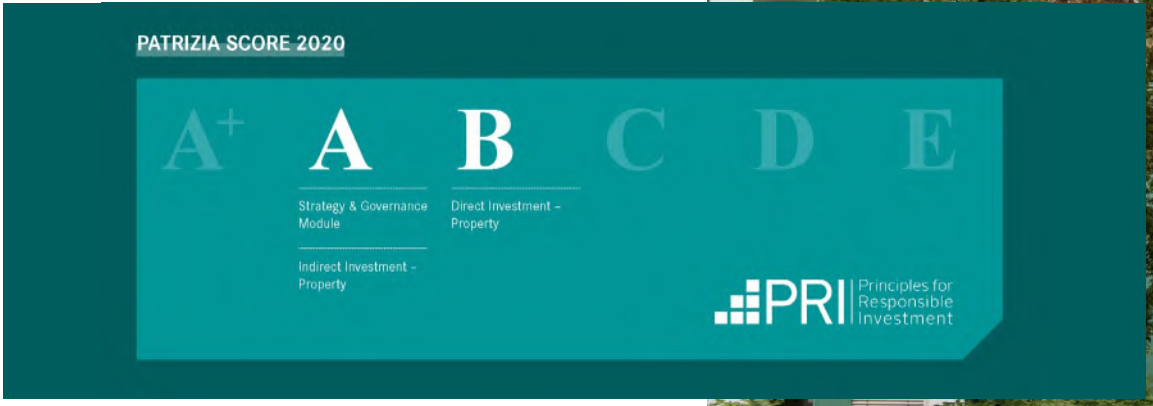
GOAL

Become a leading sustainable investor in real assets with a consistent UN PRI 5-star rating from 2025 onward, and a majority of our assets certified under our Create Better programme.

UN PRI

The United Nations Principles for Responsible Investment (UN PRI) is the primary global benchmark for promoting responsible investment by integrating ESG factors into investment and ownership decisions. PATRIZIA has been a signatory of UN PRI since 2012.

The annual UN PRI report supports us in assessing the strategic and operational implementation and improvement of our Sustainability Strategy. In 2020, the most recent reporting cycle, we achieved an A for the Strategy and Governance module, an A for the Indirect Management, Property module and a B for the Direct & Active Ownership, Property module. PATRIZIA was able to maintain its 2019 UN PRI scores and is in line with the Median Score in all modules.



The PATRIZIA UN PRI Report is publicly available on the UN PRI website, here.



GRESB

In addition to our participation in UN PRI, which assesses the overall corporate implementation of ESG, the Global Real Estate Sustainability Benchmark (GRESB) is our primary tool for assessing fund-level ESG performance and providing quantifiable and comparable information to our investors.

GRESB has established itself in recent years as a leading benchmark for assessing the implementation of ESG in both fund structures, as well as its underlying companies. GRESB takes a deeper, more detailed approach to the implementation of ESG across management components for its funds and performance components for its underlying investments.

Management components largely focus on areas like leadership, policies, reporting and stakeholder engagement. Performance components highlight asset specific areas determined by a GRESB materiality tool, including energy and water consumption, emissions, and health & safety.

The direct and independent comparison with our peers provided by GRESB helps us to develop our Sustainability Strategy to encompass emerging trends. In 2021, nine of our funds participated in the GRESB assessment. We have achieved 20 “Green Stars” in total and four of our funds received the “Green Star Label”.



IMPROVED GRESB ASSESSMENT PROCESS

We are currently working with our advisors to improve the GRESB assessment process for PATRIZIA and are developing the following improvement measures:

- **Comprehensive tenant engagement programme**
- **Employee satisfaction survey**
- **Data coverage**

With the implementation of these measures and the launch of our data strategy, we are confident that our results will improve in the future.



SECTION 5.2

Goals

Corporate responsibility, including ESG, has been part of our company culture since our founding in 1984. This is driven by our purpose of "Building Communities & Sustainable Futures". Based on this responsibility, we have set ourselves the following ambitious long-term goals for sustainability:

LONG TERM SUSTAINABILITY GOALS

Become a leading sustainable investor in real assets with a consistent UN PRI 5-star rating from 2025 onward and the majority of our assets certified under our Create Better programme.

Be an employer of choice in the Real Asset sector.

Become a leading global impact investor in the Real Assets sector with a meaningful part of our AUM in impact investments[1] by 2035.

Achieve net zero carbon[2] status across our corporate operations and real asset portfolio by 2040 or earlier, with a clear ambition to execute as fast as external and stakeholder requirements permit.

[1]As designed in the PATRIZIA Impact Investing policy, which broadly aligns to Article 9 of the EU Sustainable Finance Disclosure Regulation (2088/2019) and equivalents in other jurisdictions.
[2]Includes operational emissions and embodied carbon for new developments and major refurbishments, excluding the 'sunk' embodied carbon of the standing portfolio. Further details of the commitment, including a granular breakdown of the scope of the target, can be found in the PATRIZIA Net Zero Carbon Strategy paper.



Climate Change

How do we address Climate Change?

Climate change is the defining issue of our time. From irregular weather patterns that threaten global food stability, to rising sea levels that endanger the world's coastal communities, the impacts of climate change are imminent and irreversible without drastic and immediate action on a global scale. See PATRIZIA Climate Change White Paper here.

The buildings sector consumes around 40% of the world's energy and contributes up to 30% of global annual greenhouse gas (GHG) emissions. Therefore, we believe it is our fiduciary duty to review the climate resilience of our investments and contribute towards financing the transition to a low-carbon economy. Following the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD), we assess the transition and physical risks of climate change that, due to the long-term nature of the real estate industry, are inherent to our investment decisions.

GOAL

Achieve net zero carbon status across our corporate operations and real asset portfolio by 2040 or earlier, with a clear ambition to execute as fast as external and our stakeholder requirements permit.

Carbon Footprint

In 2021, we used an assumption-driven model to calculate the carbon footprint of our company-wide real estate portfolio for the first time. Based on proxy data from MSCI, this serves as an important step in our Net Zero Carbon Strategy by providing an indicative baseline for the most significant component of our carbon footprint:



AVERAGE CARBON INTENSITY[3] [KG CO_2e/M^2/YEAR]

Office	Residential	Retail	Industrial
70.8	41.1	72.7	25.2

While indicative, this analysis provides valuable insight regarding the potential exposure of our assets under management to climate change transition risk and steers prioritisation. Through a concerted effort over the coming years, our goal is to progressively replace the assumption-based data with actual consumption data to refine the accuracy of our analysis and chart our progress accurately over time. Having set ambitious decarbonisation goals, we also strive to monitor the GHG emissions from our corporate operations, including offices and business travel. In absolute terms, this amounts to 2,883[4] tonnes CO_2e, though we are also working to improve the coverage and granularity of this disclosure.

[3]This disclosure leverages reputable sources for proxy data, based on the location, sector type and floor area of our assets. While this data provides a useful indication of our carbon intensity and associated risk, we recognise that there are inherent inaccuracies, which will be addressed over time as we replace proxy data with actual data. The scope 2 component of the carbon intensity figures disclosed is location-based, and therefore does not account for the considerable proportion of our energy that is procured from renewable sources, which we consider to be a conservative approach.

[4]For our corporate operations, datasets were skewed during the reporting period by restrictions imposed due to the COVID-19 pandemic, and are therefore misrepresentative. Accordingly, we refer to 2019 as an indication of current performance, as this was the most recent year of typical operating conditions, and therefore a more realistic representation.



Net Zero Carbon Strategy

In 2021, we developed a Net Zero Carbon Strategy which will be published and implemented in 2022.

We recognise that in order to support global efforts to limit warming to 1.5°C the real asset industry needs to achieve net zero GHG emissions by 2050 at the latest.

We want to go beyond this imperative and have committed to achieving net zero carbon across our corporate operations and real estate investments by 2040 at the latest. To accomplish this, we have set the following interim goals, focusing on what we believe to be our most material opportunities:

PATHWAY GOALS

- Reduce energy intensity by 30% and carbon intensity[5,6] by 50% by 2030, across operational assets, from an industry-wide baseline of 2019.
- Achieve 100% coverage of landlord procured energy data and establish an effective tenant engagement strategy[7] by 2025.
- Procure electricity from renewable sources[8] for all landlord-controlled supplies by 2025[7], while encouraging tenants to adopt renewable energy.
- Develop a decarbonisation plan that applies the energy hierarchy, including feasibility studies for onsite renewable energy, for all assets[9] by 2025.
- Remove fossil fuel heat sources[10] across the portfolio, where practically feasible[11], by 2030.
- Ensure that by 2030, all new developments[12] are net-zero carbon.
- Achieve net-zero carbon status for the group's own operations by 2030[13].

[5]Arising from scope 1, 2 and 3 energy consumption.
[6]Subject to periodic review in line with best practice science-based target setting methodologies.
[7]With the aim of increasing tenant data coverage.
[8]Prioritising the use of supplies that demonstrate additionality in growing overall capacity for renewables.
[9]Applicable to all assets but flexible in level of detail, depending on scope of landlord control and materiality of transition risk. [10]Pertaining to scope 1 emissions. [11]Where lease arrangements and phased maintenance and replacement programmes allow. [12]Where PATRIZIA has full authority over the development process. [13]The boundary of the commitment is defined in our Net-Zero Carbon Strategy paper.

Our approach to achieving net zero carbon by 2040 involves consideration across the whole asset and carbon lifecycle of the assets that we manage. Our strategy will be delivered by the interventions that we can make at each stage from acquisition through to sale of an asset, and we proactively seek ways to enhance and develop our processes to improve our performance over time. Our strategy is structured around the energy hierarchy. As a result, we focus first on reducing energy demand, before decarbonisation of energy sources, and only then offsetting residual emissions.



TCFD

(Task Force on Climate-related Financial Disclosures)

The TCFD framework was launched by the Financial Stability Board (FSB) to ensure standardised reporting of climate risks by corporates, banks, insurers, and investors. It comprises four pillars: governance, strategy, risk management, and metrics and targets.

PATRIZIA has been a supporter of TCFD since March 2020 and the latest TCFD report is integrated in our annual report, which is available on the PATRIZIA website.

At PATRIZIA, we are aligning the disclosure of climate-related financial risk, including physical and transition risks, with the recommendations of the task force to ensure consistency with industry best practices. Not only is TCFD a reporting framework, but it also serves as a guideline for instilling a sound approach for the integration of climate-related risks into investment processes, which we consider to be complimentary to PATRIZIA's overarching Sustainability Strategy. PATRIZIA has made significant progress against each of the four pillars of TCFD, including:

PATRIZIA'S PROGRESS

Governance

PATRIZIA's ESG Committee, which serves as a central forum for integration of ESG across the business, is headed by Thomas Wels, the Co-CEO, ensuring board oversight of climate-related risks and opportunities. PATRIZIA's dedicated corporate ESG team plays an active role in supporting the assessment and management of climate related risks and opportunities and works closely with representatives from relevant business functions to drive integration.

Strategy

In alignment with TCFD reporting guidelines, PATRIZIA has conducted a platform-wide materiality assessment of both physical and transition risks. This was achieved using forward-looking scenario analysis provided by MSCI's best-in-class Climate Value-at-Risk tool to identify exposure to climate-related risks and opportunities. This includes the quantification of financial risk for incorporation into business planning.

Risk Management

ESG, including consideration of climate risk, is fully integrated in how PATRIZIA operates, with mechanisms for screening and managing risk throughout the investment process, from the due diligence phase of an acquisition to the business plan of an asset. This is engendered through fund-level ESG policies, and processes are evaluated and enhanced on an ongoing basis through regular reviews.

Metrics & Targets

PATRIZIA's comprehensive ESG Data Strategy encompasses the implementation of ESG Data Management Platforms (DMPs) for centralised collation and analysis of relevant ESG data, such as scope 1, 2 and 3 greenhouse gas emissions. This enables the tracking and transparent reporting of progress against PATRIZIA's targets, including our corporate goal of achieving net zero carbon status by 2040.



Physical & Transition Risk

At PATRIZIA, we acknowledge that the potential physical impacts of climate change will influence the value of properties. It is therefore essential to understand how, where and when these physical impacts will lead to negative consequences of individual investments' financial performance. We also recognise the financial opportunities and risks associated with the transition to a low-carbon economy, and the importance of managing building efficiency and carbon intensity throughout the transition. Although our Sustainability Strategy covers a wide range of ESG issues, we believe that physical impacts of climate change and the transition to a low-carbon economy will have the most significant impact on real property values and are therefore the most material for our stakeholders.



Physical Risk

Physical impacts of climate change could have an important direct financial impact on an asset. Firstly, areas hit hard by climate change may become less attractive for investors, which would create a knock-on effect on asset value. Secondly, physical risks could also damage properties and generate extensive repair costs.

The threat of physical or monetary damage to our managed asset portfolio resulting from severe weather conditions and climate-related events are analysed during the due diligence process at time of acquisition. Risks such as coastal and fluvial flooding, extreme cold and heat and even tropical cyclones are assessed and appropriately insured against, ahead of time.

Other potential physical risks include, but are not limited to:

Higher operating costs
PATRIZIA keeps an eye on the risk of higher operating costs due to higher insurance premiums to cover the risk of climate change. At the time of writing, no increased insurance costs attributable to environmental or climate change risks have been recorded.

Increased capital costs
Possible higher maintenance and CAPEX costs due to damaged or inadequate technical facilities.

Transition Risk

PATRIZIA's Assets Under Management are subject to increased regulation with regards to environmental protection and climate change mitigation.

The transition risk of legislative changes is monitored closely. Business partners, especially property managers, are encouraged to comply with requirements to protect assets against obsolescence caused by policy changes.

The climate-related transition risks that are carefully monitored at PATRIZIA include, but are not limited to:

Changing market behaviour
PATRIZIA sees the shift of demand towards sustainable and responsible investment vehicles as an opportunity to future-proof its portfolio by demonstrating responsibility towards stakeholders, the environment, and communities.

Mandates on and regulation of existing products and services
PATRIZIA ensures its property portfolio is prepared for minimum standards regarding EPC (Energy Performance Certificate) levels, and other regulatory requirements.

Enhanced emissions-reporting obligations
PATRIZIA is enhancing the quality of its carbon footprint reporting.

To better understand the exposure of PATRIZIA's real estate portfolio to the physical impacts of climate change and the impacts of transitioning to a low carbon economy, we have rolled out the MSCI Climate Value at Risk (CVaR) Analysis across our portfolio.

The Real Estate CVaR model is comprised of two main components. The transition policy risk model assesses the potential cost impact from the transition to a low-carbon economy under three scenarios: 3°C, 2°C and 1.5°C. The physical risk model assesses the cost of physical climate change risks on buildings, using climate data for the given locations of assets, incorporating the hazards of extreme heat, extreme cold, coastal flooding, and tropical cyclones.

Data Strategy

Data is crucial for governing environmentally and socially conscious decisions. In 2021, we actively explored how to consolidate ESG data to support the development of quantitative and qualitative KPIs. With the deployment of software tools that collect, aggregate, and analyse data, we gather valuable insights into ESG performance metrics of managed assets.

Leveraging data helps us not only to track current performance but also to identify physical and transitional risk indicators early, avoiding costly escalations or even stranded assets.

02/2021

Identifying sources
In order to plan our sustainability roadmap, we undertook a thorough analysis of existing tools such as the PM Report and future platforms including Janus and Fabriq.

04/2021

Piece it all together
To comply with binding EU regulatory requirements, a short-term 'emergency data' approach was required that tied into our mid- and long-term tools without causing double data entries.

06/2021

Creating first data flows
All four tools were either upgraded or finalised to roll-out to first source systems. The underlying SAP database requires extensions to include consumption data.

09/2021

Dynamic cloud-based data
Circa 200 electricity smart meters now feed into Fabriq and mark a milestone of our SMART building strategy. The long-term goal is to extend Fabriq (or equivalent) to all consumption based data sources.

12/2021

Consolidation and scaling
After initialising all four tools and consolidating data from source systems, we took an adaptable roll-out approach across every country to generate complementary 3c datasets.

To respond to a rapidly changing regulatory environment, we set up an ESG data ecosystem that always ensures coverage across current requirements. While short-term solutions still rely on manual data entry and extrapolated data models, our long-term approach is aiming for fully automated streams with dynamic, high-resolution data.

ESG Performance Tools

Short-term and quick wins (2021)

Mid-to long-term (beyond 2022)



*3c = consumptions, compliance and certification

In 2021 the identified ESG data sources (both internal and external) across PATRIZIA were successfully consolidated into a single framework. As a result, a complete ESG data schema will be replicated in both Janus (our designated internal master data repository) and Fabriq (an external ESG data aggregation and analytics platform). Fabriq was engaged to speed up the collection of consumption data directly from assets, or via utilities, using automated methodologies. These include smart meter (or equivalent sensor) readings and API feeds from aggregators or utility companies.

MSCI was engaged to ensure PATRIZIA has a baseline for decarbonisation planning in 2021 and beyond. Using the MSCI model reflects PATRIZIA's ambition to continuously improve data input, gradually replacing assumptions with actual data in 2022 and beyond.

The completeness of ESG data ranges widely according to the data field and domicile (country) of every individual asset. The identification of a target data schema and greater transparency on pre-existing data completeness has created a strong platform for country-specific data collection in close collaboration with key internal and external stakeholders.

ESG DATA COLLECTION OVER TIME

Assumption vs actual data

In 2021 the first CO_2 footprint per portfolio asset was calculated using an MSCI assumption-driven model. The goal is to progressively switch the model input from assumptions to actual consumption data. This will allow a more refined CO_2 footprint per asset, while factoring in efficiency works over the holding period of the asset.

Periodic vs real-time collection modes

ESG data at the asset level can range from a non-changing fundamental asset characteristic (e.g. gross floor area) to daily fluctuating values (e.g. daily water consumption). Using appropriate technologies, PATRIZIA aims to have straight-through sourcing of consumption data in real-time or near real-time (subject to regulatory, tenant and operational limitations). Direct real-time data sourcing is intended to reduce collection costs and increase data quality.

Reactive vs proactive analytics

As the ESG data set across our portfolio becomes more complete (i.e. actual data with frequent periodic updates), PATRIZIA seeks to proactively manage assets to maximise our ESG performance in line with our fiduciary duties and investment strategies.





SECTION 5.5

Create Better

We continue to embed sustainability into everything we do at PATRIZIA. What started with our 'Create Better' employee engagement initiative in early 2021 is quickly becoming a mindset for sustainable business practices and innovation across the entire organisation. In the near-term, it will be further defined as an internal accreditation framework, representing best practice approaches.



Create Better is a philosophy embraced by PATRIZIANs to challenge and improve the way that we work. As a kick-starter to deliver on this ambition, the Create Better challenge was launched in April 2021. The purpose was to have PATRIZIANs apply their ingenuity and expertise to create sustainability-focused solutions to improve our assets, workplaces, and communities.

The response was very strong with more than 150 PATRIZIANs across 33 teams registered and more than 24 submissions. A panel of four judges reviewed the submissions and identified a shortlist of six potential finalist teams for employee voting across three categories: Create Better Workplaces, Create Better Communities and Create Better Assets.

The following three teams were voted to present to the "PATRIZIA Dragon's Den" where the winner was chosen.



PATRIZIA Offset & Wild

This mission is to provide an in-house carbon offsetting programme, through acquiring or leasing large areas of rural landscape for reforestation, restoring peatlands and rewilding large areas across Europe to sequester PATRIZIA's annual carbon emissions. Excess credits will be sold to third parties.

Each site will also accommodate off-grid cabins, sustainably built accommodation, nature trails and educational centres for local communities. Areas that aren't suitable for planting will have renewable energy sources such as wind turbines or PV farms.



PATRIZIA Food Relation

This mission is to create better by eating better, based on the production of an international recipe and information compilation with details about the benefits of a meat reduced diet and why alternatives to meat are necessary.

Every global PATRIZIA location will receive a leaflet containing facts about the local diets and customs, as well as meatless recipes and fun facts about the landscape to further educate themselves about the relationships between food and sustainability.



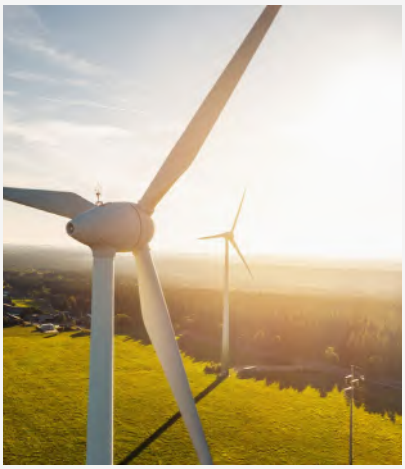
PATRIZIA Climbs The Roofs

This mission is to establish green roofs wherever possible to help decarbonise real estate assets.The team will develop an Excel-based matrix tool to quickly check whether it is possible to implement a green roof for a property.

The matrix will store the essential technical requirements for implementing a green roof. Formulas evaluate the responses and provide a result as indicated by a simple traffic light system (red, amber, green) indicating suitability.

The winner was PATRIZIA Climbs The Roofs and this initiative will be implemented in 2022 wherever possible.

Here are some case studies where best practice approaches have already been implemented within PATRIZIA:



Transitioning to green energy

Following in-depth analysis of energy supply contracts across Europe, we've made significant headway in increasing our use of renewable energy sources. In 2017, we decided to convert our entire real estate portfolio in Germany to run on renewables, and from early 2020 we switched over to green electricity and a CO_2-neutral supply in France. We have now also switched to green energy for our portfolio in Poland, Italy, Denmark, and Spain. Our energy will be sourced from a single utility, with one contract set at a fixed price until 2023/24. As gas and electricity prices have increased significantly in recent years and the move enables us to secure attractive long-term prices, our overall costs won't increase.



Transitioning to solar energy on-site

John Hickstraat Venlo

In 2021, solar panels were installed covering an area of 8,500 sqm of the roof of a 41,400 sqm logistics warehouse located in Venlo, the Netherlands, one of the most important logistics hubs in Europe. The solar panels are expected to generate 1,374 MW of power per annum, the equivalent of the energy consumed by 371 households.



Travel Plan at Birchwood Park

Birchwood Park is a 123-acre business park in the North West of England owned by Warrington Borough Council Trust. The asset has been managed by PATRIZIA since 2014. The Park consists of 36 buildings, 1.1million sq ft (office & warehouse) accommodating 165 companies with around 6,000 people working on the site daily.

Birchwood Park's Travel Management Plan (TMP) was introduced to:

- Reduce staff car journeys to the site
- Reduce single occupancy vehicles
- Reduce CO_2 emissions
- Lead to an improvement in air quality to further enhance the site as an enjoyable place to work

The plan includes the following measures to encourage sustainable travel

- Free shuttle bus linking to Birchwood Train Station
- Online car share / buddy scheme
- Cycle facilities
- Walking route enhancement
- Car Parking management

These improvements are also designed to support Birchwood Park's Net Zero Carbon Strategy.



The Hof van Duurzaamheid

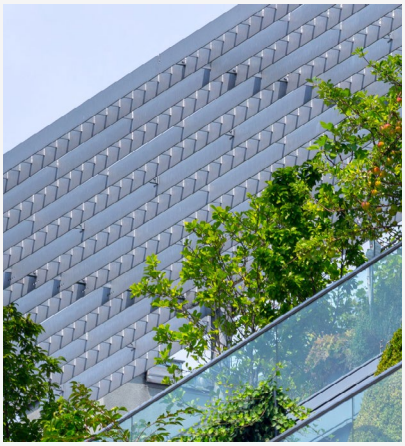
A sustainable innovative and unique development in Amersfoort, The Netherlands

The project of 110 residential units is an investment and is divided into 63 apartments, seven urban villas and 40 family houses. The latter two asset types are particularly unique, thanks to their construction using Cross Laminated Timber (CLT). This environmentally friendly, wood-based material is not only highly resilient, with excellent insulation capabilities, but also retains CO_2, and provides bright and beautiful living spaces, thanks to its unique, eco-friendly appearance and panel-based spacious layouts.

The buildings are constructed with traditional concrete foundations, the walls from prefabricated CLT and the façade is finished with plasterboard. By specifying individual heating pumps and solar panels, the use of natural gas is completely eliminated, resulting in an energy performance coefficient (EPC) of 0.4, comparable with the previous energy label of A+++.

In addition to its environmental benefits, CLT also has a quicker construction time over traditional methods, allowing for two family homes to be built over just three days. This efficiency saving also reduces overall CO_2 emissions, particularly when compared to conventional concrete use.

This unique development is set for completion in Q3 2022.

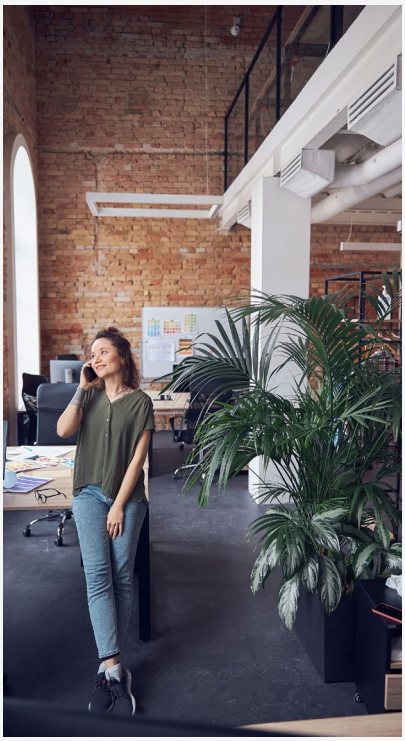


Net Zero Carbon Strategy for one of our flagship funds

Last year, one of our flagship funds set itself the ambitious target of becoming net zero carbon for all landlord activities. It has reached this milestone through a dedicated programme of carbon reduction measures and offsets.

As part of the strategy, the carbon footprint of each asset within the fund has been assessed and a decarbonisation pathway mapped out. To help reduce all other indirect emissions, the fund is working in collaboration with tenants on a range of initiatives, such as green lease clauses and ESG surveys, ensuring alignment on its net zero objectives.

The fund has been awarded the AREF (Association of Real Estate Funds) Investors' Award for Outstanding Achievement in its approach to achieving net zero carbon.



Tenant engagement programme for one of our flagship funds

One of PATRIZIA's residential funds has developed an extensive Tenant Engagement Programme which includes the following:

- Implement ESG guide for tenants to be added as an appendix to new lease contracts or other communication streams
- ESG training to be offered to tenants via YouTube or other channels in order to increase ESG awareness by 2025
- Constantly improve or implement process to address community concerns to all local hubs
- Manage and educate property management via frequent catch-up sessions to improve building/asset communication and feedback sessions
- Expand green building certification programme
- Implement a walkability score (PATRIZIA's amenity score 15"), which ensures the measurement of easy access to education, green recreational areas and everyday necessities and contributes to the UN SDGs that the fund targets



SECTION 5.6

ESG Incorporation

How we incorporate ESG in our investment process

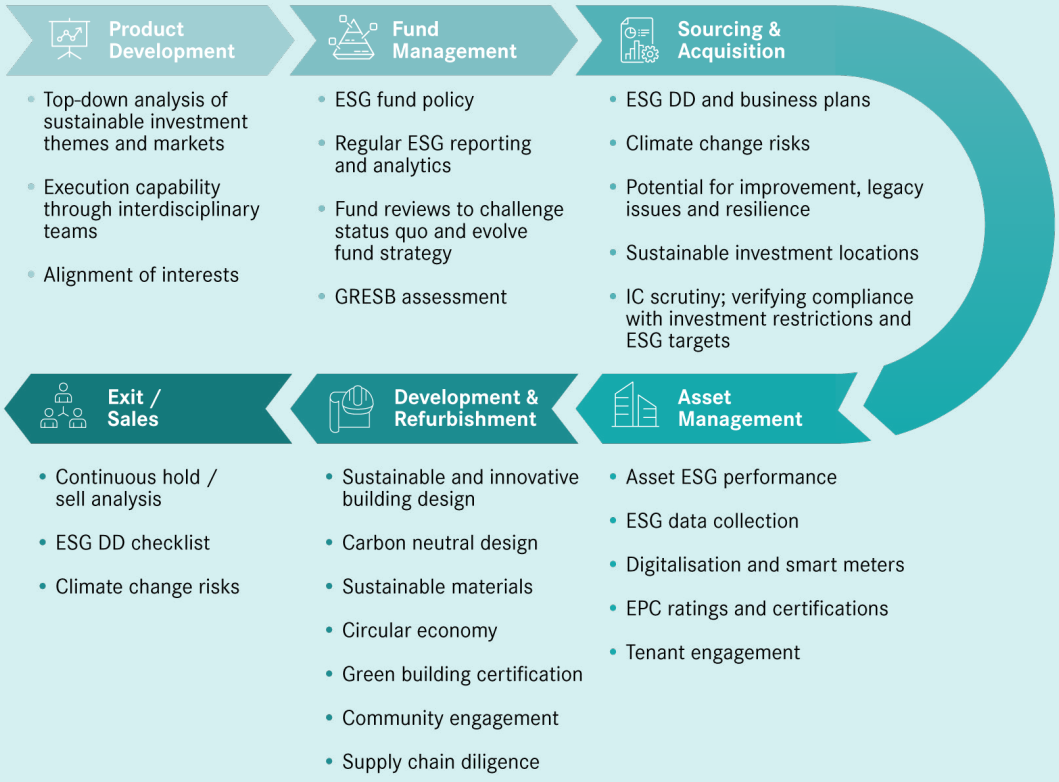
Stable, market-leading, and performance-oriented investment vehicles require sustainability to be embedded in the philosophy and process from the start.

Sustainable investments mean promoting and safeguarding the environmental, social, and economic interest of our stakeholders, including clients, tenants, employees, and the communities in which PATRIZIA operates.

The PATRIZIA ESG Committee has therefore instituted a systematic approach ensuring just that. Responsible Investment Guidelines have been formulated and consideration checklists are to be followed throughout the investment process, from acquisition to disposal. PATRIZIA has also developed a fund policy matrix to incorporate ESG requirements within the fund strategy of each fund.

ESG IS FIRMLY EMBEDDED IN OUR INVESTMENT PROCESS

Building stakeholder trust, increasing real estate efficiency and reducing operational risks





Governance

At PATRIZIA, sustainability is incorporated into the day-to-day business across all functions. We have several dedicated professionals and teams to drive ESG progress across the organisation:



Thomas Wels
Co-CEO & Chair ESG Committee



Aaron Scott
Head of Strategic Planning & Sustainability



Mathieu Elshout
Head of Sustainability & Impact Investing

An **ESG Committee** to plan sustainability implementation, chaired by Co-CEO Thomas Wels.

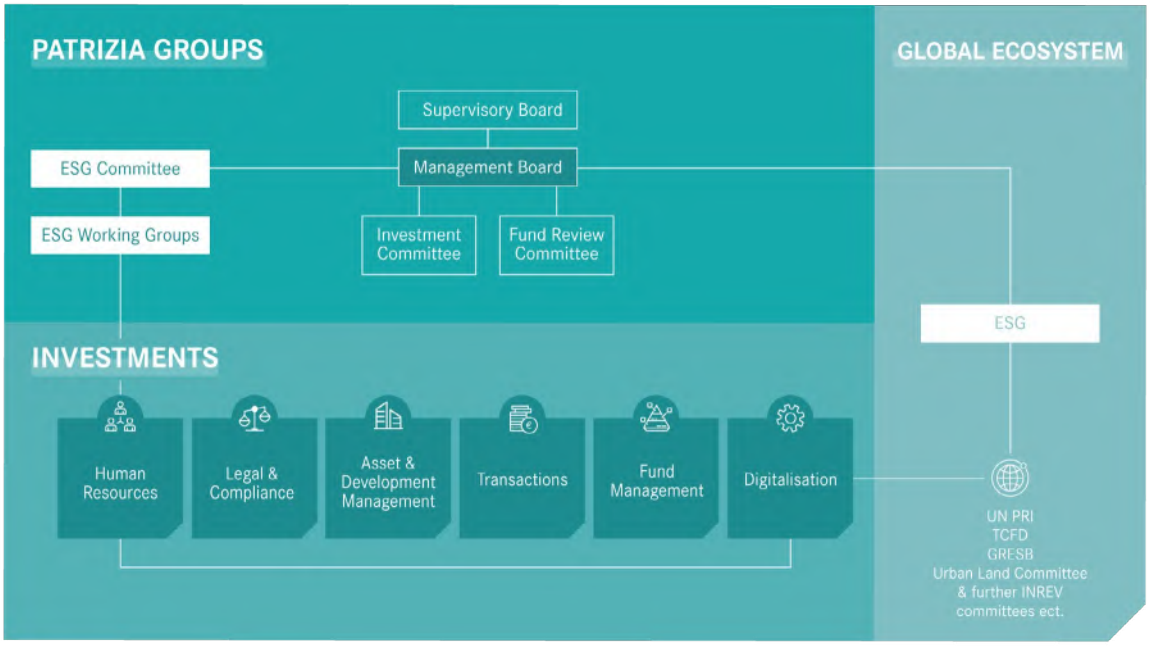
A **Head of Strategic Planning & Sustainability** to direct business strategy and systematically implement the Sustainability Strategy and business strategy.

Three dedicated **Sustainability Managers** to coordinate and initiate ESG activities across business functions, to coordinate the data strategy roll out and undertake external reporting.

A **Head of Sustainability & Impact Investing** to develop impact fund products and further drive the integration of sustainability into our core investment processes.

Specialised Asset Management ESG Managers to ensure environmental and social diligence in business operations.

Our ESG Committee is responsible for implementing and managing the Sustainability Strategy. It does this in partnership with a central Sustainability Management function. Our ESG Committee reports biannually to the Strategic Board. To ensure strong alignment between sustainability implementation at the strategic group level and the operational investment level, we involve team leaders from Asset and Development Management, Fund Management, Transactions and Capital Markets in both the ESG Committee and dedicated working groups. Corporate functions such as HR, Digitalisation, Technology & Innovation and Legal and Compliance are also included in the process. Some ESG Committee members are also members of the Investment Committee. This enables them to take their knowledge and expertise on climate risks into account when making investment decisions.





ESG Product Segmentation

At PATRIZIA, ESG integration has become a core part of our real estate investment strategy. Our product segmentation divides funds into three categories based on their ESG fund strategy and in line with our current understanding of the Sustainable Financial Disclosure Regulation (SFDR). The consultation for this regulation is still ongoing and we are seeking further clarity and guidance for sustainability-related disclosures.

Our product shelf can be split accordingly:

Mainstream Funds
(in line with Art. 6 SFDR)

Around 90% of our assets under management (AUM) are currently held in the category of Mainstream funds. These funds are subject to a common baseline of ESG factors that PATRIZIA considers important. These factors and associated risks will be assessed during the due diligence phase for any asset to be acquired by a fund of this category as guided by the PATRIZIA ESG Due Diligence Checklist.

ESG Funds
(in line with Art. 8 SFDR)

Around 10% of PATRIZIA's AUM are currently held in the ESG fund category. ESG funds promote environmental or social characteristics, or a combination of both. ESG funds must also have an ESG strategy that defines which ESG criteria are intended to be prioritised and describes how those improvements will be accomplished. Both fund managers and asset managers are expected to implement these objectives at fund and asset level.

Impact Funds
(in line with Art. 9 SFDR)

Impact funds are those that specifically have sustainable goals as their objective. PATRIZIA will launch its first Impact Fund at the beginning of 2022. Further information on impact investing can be found in the following section.



Impact Investing

PATRIZIA considers impact investing a key component of its approach to responsible investment, as reflected by one of our corporate goals.

Impact investments are made with the clear and deliberate intention of generating a positive social and/or environmental result together with an attractive risk-adjusted financial return. To be classed as impact investing, the investments need to align to the three key criteria below:

GOAL

Become a leading global impact investor in the real assets sector with a meaningful part of our AUM in impact investments by 2035.

Intentionality
Positive social or environmental impact that is defined as part of the investment strategy and assessed alongside financial return.



Measurability
Measuring and managing the process of creating social and environmental impact in order to maximise and optimise it.

Additionality
The positive impact that would not have occurred without the investment. alongside financial return.

At PATRIZIA, we have also created our own Impact Investment Code, which states additional guidelines, relevant to all impact investments.

PATRIZIA IMPACT INVESTMENT CODE

1. We make investments to generate social/environmental returns alongside financial returns.
2. We strive for a high level of transparency. Our social, environmental and financial goals are clearly communicated from the outset, as well as how we measure these.
3. We aim to solve problems for the long-term, and do no significant harm as referred to in the SFDR and EU Taxonomy.
4. We take a proactive approach in every step of the investment process and always strive to go beyond legal requirements.
5. We take ownership and responsibility for our actions and share our learnings within our industry.
6. We always stay clear of Green Washing.
7. We align our impact strategies with widely accepted frameworks: UN SDGs, UN PRI market map, UNEP FI positive impact radar and reporting frameworks such as GRESB.



SECTION 5.7

People

Stakeholder Engagement

Investing in real estate means investing in communities, which is why social responsibility has always been one of our key focuses. We collaborate with our stakeholders to find solutions that create a positive social impact, staying in constant dialogue with investors, tenants, service providers and surrounding communities to identify their common needs. We also encourage engagement with local communities through building and tenant outreach and local cooperation.

External Stakeholders: Investors, Tenants, and Communities:

Investors

- Discuss Sustainability Strategies and mutual interests
- Define requirements and responsible investment focus
- Sustainability reporting, GRESB benchmark

Tenants

- Responsible and environmentally friendly use of buildings (ESG Guide)
- Green lease clauses
- 'Sustainability Partnerships' with larger commercial tenants

Property Manager

- Sustainable management of AUM
- Energy-efficient improvements on-site
- Green clauses and ESG data collection

Local Communities

- Public communication & social media
- Local teams for on-site presence and personal dialogue
- One-on-one dialogue with neighbourhoods before and during (re)development

Industry Dialogue

Membership in (inter)national industry associations

- Active participation in working groups to promote best practice and standardisation
- PATRIZIA's CIO Anne Kavanagh is on the global board of directors of the Urban Land Institute (ULI)
- PATRIZIA supports ULI Urban Plan
- INREV Committees representation

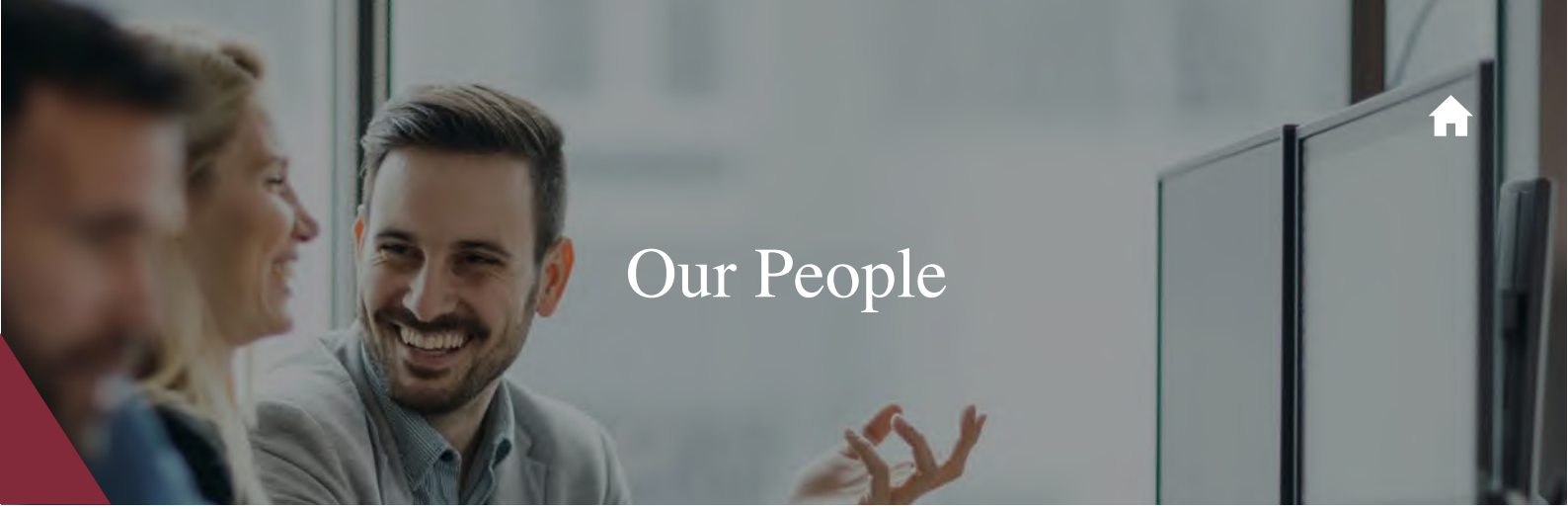
Internal Stakeholders: Employees and Shareholders:

Employees

- Appraisal and benefits
- Internal media and open culture
- Education

Shareholders

- Roadshows, conferences, site visits
- Direct dialogue
- Annual General Meeting



Our People

At PATRIZIA, we know that the power to create a better future starts with our employees. That is why we've launched our ED&I (Equity, Diversity and Inclusion) council: to give every worker an equal voice and the chance to play a role in shaping our culture. Our ambition to be a true global partner for real estate assets around the world is underpinned by our values of optimism, courage, ingenuity, and tenacity. As we grow our international footprint, we remain committed to being a diverse and inclusive company for all. Nurturing and maintaining our culture of trust, collaboration, and mutual respect will always be the key to our present and future success.

GOAL

Be an employer of choice in the Real Asset sector.

Horizons

When our employees give the very best, they deserve to get the very best. So, we've launched Horizons, a two-track programme ("Step In" and "Step Up") designed to offer an inclusive approach to developing talent whether you're a new joiner, or an existing PATRIZIAn.

Step In focuses on supporting new talent stepping into PATRIZIA and Step Up focuses on developing existing PATRIZIAns stepping their game up. When this diverse and ambitious group of early career professionals comes together, they'll have the dedicated time and space to learn from each other, grow together and make a positive impact on the industry – making Horizons our most inclusive approach to developing talent.

When we hire entrepreneurial people and prioritise their development, we are thinking and acting like a company that is continuously working to better ourselves, from the inside out. We believe this is the hallmark of an industry leader.

By nurturing our early career professionals, we are future proofing our company's success, the diversity of our employee community and the positive impact we have around the world.





Investing in Future Leaders

Every investment is a bet on the future; the belief in an asset's ability to rise in value and outperform the competition. With our new PATRIZIA Futures Program, which launched in 2021, we're investing more than ever in our emerging talent through a unique development accelerator of applied innovation, leadership and change. This annual program for 30 of our future leaders blends individualised coaching with group workshops, networking and innovation sprints. By exposing talent to new trends, models and technologies, we are equipping the next generation to adapt to uncertainty, pivot at pace, lead with purpose and unleash the potential of innovation led-growth.

Supporting Charitable Work

Building Communities & Sustainable Futures is part of our DNA. Over twenty years ago, our founder Wolfgang Egger started the PATRIZIA Foundation. Its mission is to improve children's prospects across the globe, by collaborating with local communities to ensure access to education, better-quality healthcare, and security for vulnerable youngsters. Up to 1% of PATRIZIA's operating income is used to cover the Foundation's administrative costs, enabling 100% of donations to go to the Foundation's projects. Overall, it forms an important part of our corporate culture; employees are encouraged to pay it forward by volunteering for the Foundation or another charity that's close to their hearts. More information on the Foundation's work can be found in the next section.

Lake District Challenge
In 2021, 43 participants went hiking for the PATRIZIA Lake District Challenge. Together, they walked almost 50 km in two days, with an overall ascent of 3000 metres. The challenge wasn't just about scaling the 24 peaks included in the hike, but also the target of raising €100,000 for PATRIZIA School Buyamba in Uganda. It was an ambitious goal the participants set themselves – and they achieved it!

The money raised by the challenge went towards the PATRIZIA Foundation's work to extend PATRIZIA School Buyamba in Uganda. This includes the installation of a rainwater collection system, the refurbishment of classrooms and dormitories, and the construction of two outdoor classrooms. The project will ensure over 800 pupils benefit from modern facilities, thus securing access to the education they need to thrive.

Promoting Hybrid Work

The coronavirus pandemic has changed the way we work and think about work. We have learned to collaborate entirely virtually and appreciate the freedom of mobile working.

These developments have led to the launch of our New Work initiative. New Work is our accelerated journey to transform working life at PATRIZIA and unlock potential for PATRIZIAns everywhere by reimagining old habits, tools, mindsets, and spaces around our unique culture to enable us to Work Free, Work Flexible, Work Smart and Work Well.

Work Free

AUTONOMY
AMBITION
IMPACT

It's about **WHY** we work

With a new sense of empowerment enabled by self determination, personal autonomy and shared trust.

Work Flexible

FLEXIBILITY
MOBILITY
BALANCE

It's about **WHEN** and **WHERE** we work

With new options and tools to create your perfect mix of home, office and mobile working.

Work Smart

SPACES
CHOICES
COLLABORATION

It's about **HOW** we work

With new physical and virtual workspace designed to enable different tasks and inspire different thinking.

Work Well

HEALTH
HAPPINESS
SUSTAINABILITY

It's about **WHAT** works for you

With a bold new ethos that puts your physical and mental wellbeing at the heart of PATRIZIA life.

Whether employees work from home or on-the-go, mobile working is no longer ancillary to being in the office. So, with New Work and our new Global Mobile Working policy, we're embracing a hybrid approach in which many PATRIZIAns can create their own balance of office and mobile working – in a way that works for both the individual and our business. The Global Mobile Working policy gives all employees a framework for planning and structuring their way of working. In collaboration with managers, employees have the option to work remotely when practical and preferable, for up to four days a week.

With the freedom and flexibility to choose where, when, and how we work, comes both opportunity and responsibility. To support New Work, we also launched our Accelerator Programme. The programme is designed to give PATRIZIAns the skills and confidence to thrive in the new way of working and offers training session around topics like well-being, virtual leadership and inclusive new working.

Advancing Equity, Diversity and Inclusion

To make a meaningful difference in the communities where we live and work, we have started out on a new journey to advance Equity, Diversity and Inclusion (ED&I) in our organisation, industry and more widely in society by appointing an ED&I Council in September.

Equity
The practice of ensuring that processes and policies are impartial, fair, and provide equal access to opportunities for every individual.



Diversity
The presence of people with differences across dimensions such as gender, age, race, ethnicity, nationality, socioeconomic upbringing, sexual orientation, and others.

Inclusion
The practice of ensuring a work environment where employees from all backgrounds feel welcome and supported.

The work of the ED&I council will focus on the following areas:

Strategy & Policy
to review and upgrade our commitments and policies.

Recruitment
to ensure equitable diversity in hiring.

Inclusion & Retention
to cultivate an inclusive community including equitable development.

Skills & Confidence
to raise awareness and build skills for ED&I.

Employee Resource Groups (ERG), Circles & Partnerships
to champion internal initiatives and drive external partnerships.

Employee Resource Groups

In 2021 we also welcomed the emergence of three employee resource groups (ERGs). Creating a culture of inclusivity is not just about 'accepting difference', it is about shaping a culture that celebrates those differences. These employee-led forums reflect the intersectionality of our talented community and will drive our continued awareness and engagement to support their needs. They include:

PATRIZIA Advance:
Strengthening the position and career growth opportunities to advance women at PATRIZIA.

PATRIZIA NEXTGEN:
Winning, growing and engaging emerging talent globally.

Working Parents & Carers:
Creating a supportive and inclusive working environment for all current and future working parents and carers.

This is the PATRIZIA culture we are building.





SECTION 6

PATRIZIA Foundation



PATRIZIA Foundation

Wolfgang Egger established the PATRIZIA Foundation 22 years ago, to give children and young people around the world the chance for a better future through access to education. The belief that education is a human right has shaped the corporate culture of PATRIZIA for over two decades, and today we support the Foundation both financially, and through employee volunteering.

By targeting children and building educational infrastructures (including schools, training centres and homes) where they are urgently needed, the Foundation aims to enable the growth of independent and self-reliant communities and break down poverty cycles. Its aim is to strengthen individual identification, self-confidence and a sense of responsibility locally. The PATRIZIA Foundation works with local partners to plan each project responsibly and commits to the operation of every new facility for a minimum of 25 years.

Since 1999, we have helped about 250,000 children and young people via the 19 PATRIZIA KinderHaus facilities. Thanks to PATRIZIA, which bears the Foundation's administrative costs, 100 percent of the donations flow directly into the project work.

Ready for the Future – a concept for a sustainable increase in the quality of education

The COVID-19 pandemic has affected educational systems worldwide, leading to global closures of schools, nurseries, universities and colleges. These closures not only impact students, teachers and families, but have far-reaching social and economic consequences, particularly for children from disadvantaged backgrounds.

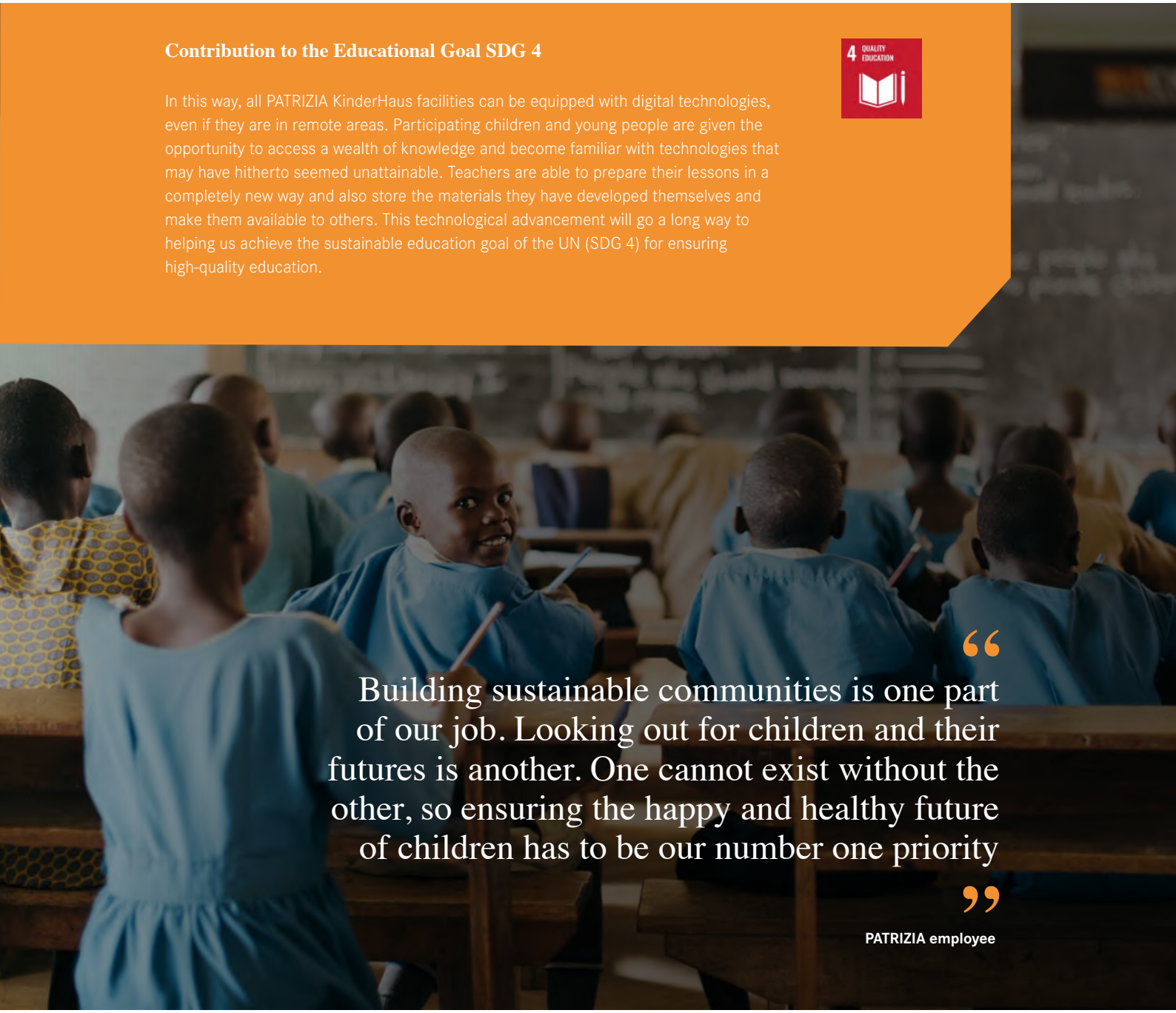
For this reason, the PATRIZIA Foundation has launched a digitisation offensive to make teaching possible even in times of crisis. We recognise that digital infrastructure alone is not enough; students and teachers must be trained in the use of digital learning methods to use them effectively too. This upskilling is currently taking place in three pilot countries (Cameroon, Nepal and Rwanda), in which the "Ready for the Future" concept is being implemented. The concept will later be used extensively in the PATRIZIA Foundation's KinderHaus facilities.

The Foundation has developed an adaptive concept based on the pedagogical approach of the "Essence of Learning" (EoL). It enables child-centred learning in a simple, extremely efficient way and promotes self-active, self-reliant learning – which is a basic prerequisite for making good use of digital learning options. Training also incorporates solutions such as Raspberry Pi, and offline study, to ensure that digital learning can be effectively integrated into any scenario around the world.



Contribution to the Educational Goal SDG 4

In this way, all PATRIZIA KinderHaus facilities can be equipped with digital technologies, even if they are in remote areas. Participating children and young people are given the opportunity to access a wealth of knowledge and become familiar with technologies that may have hitherto seemed unattainable. Teachers are able to prepare their lessons in a completely new way and also store the materials they have developed themselves and make them available to others. This technological advancement will go a long way to helping us achieve the sustainable education goal of the UN (SDG 4) for ensuring high-quality education.



> “Building sustainable communities is one part of our job. Looking out for children and their futures is another. One cannot exist without the other, so ensuring the happy and healthy future of children has to be our number one priority”
>
> **PATRIZIA employee**

All of our colleagues are encouraged to use up to one percent of their working hours for charitable purposes and support the work of the PATRIZIA Foundation. Employee commitment to this endeavour has grown significantly in 2021, with various running, cycling and hiking challenges both initiated and loved by our workers.

Last year:

- The Lakes Challenge raised €106,000 for the PATRIZIA School Buyamba in Uganda
- The Remote Run for Rwanda saw the net proceeds from entry fees and donations totalling €5,000 going to the PATRIZIA Vocational Training Center Ntarama in Rwanda
- The Cycling Challenge generated proceeds of around €8,000 for the digital classroom project at the PATRIZIA School Dhoksan in Nepal

There were also other initiatives such as the Excel for India training and support for various Foundation campaigns.

SECTION 7

Our Policies



Responsible Investment

Our Responsible Investment Policy, which includes our responsible investment principles, long-term sustainability goals, and responsible investment guidelines, is the foundation of PATRIZIA's approach to responsible investment and ESG integration.

The policy is defined by our ESG Committee and serves as a practical guideline for all PATRIZIA employees by establishing minimum and best practice standards for PATRIZIA's corporate operations and each phase of the real asset investment process.

This year, the minimum and best practice standards were reviewed and updated to reflect the ambition and progress of PATRIZIA's Sustainability Strategy, which seeks to create and protect long-term stakeholder and asset value. Furthermore, an additional section was incorporated regarding PATRIZIA's Impact Investment Code, which instils a scrupulous and consistent approach to impact investing, in reflection of our ambition to become a leading European impact investor.

We believe that the implementation of robust principles and evolving guidelines will ensure that we continue to deliver social value and a positive contribution to the environment, alongside sustainable financial returns.

ESG Screening and Ethical Exclusion

The PATRIZIA ESG Screening and Ethical Exclusion policy ensures that our clients' and shareholders' capital is aligned with our principles and convictions to mitigate reputational risk.

As a signatory to the United Nations' Principles of Responsible Investment (UN PRI), we respect the UN Global Compact principles on human rights, labour conditions, the environment and anti-corruption. As a result, we do not enter into any kind of business relationship or transaction with corporate entities, governments, joint ventures or individuals with clear, direct links to controversial weapons, nor with countries that we deem to have serious violations on political stability and peace, human rights and religious freedoms.

Supplier Code of Conduct

We are acutely aware that PATRIZIA's responsibilities concerning ESG extend beyond the boundaries of our organisation, and that a significant proportion of our environmental and social impacts arise from processes that are overseen and conducted by our business partners. Accordingly, PATRIZIA strives to excerpt a broader positive influence throughout our network, which is instilled by our Supplier Code of Conduct.

PATRIZIA's Supplier Code of Conduct is applicable to all our business partners and reflects our commitment to:



Protection of the environment



Protection of workers



Supporting communities



Governance, compliance, and ethics

PATRIZIA only engages with suppliers and contractors who meet our standards, both on their own behalf and on the behalf of their subsidiaries, employees, authorised representatives, and subcontractors.

We believe that the implementation of our Supplier Code of Conduct reinforces positive business practices across the industry, by extension of our own principles.

Modern Slavery

PATRIZIA is committed to respecting fundamental human rights as defined by the United Nations Universal Declaration of Human Rights and international standards of labour rights, as defined by the International Labour Organisation (ILO).

PATRIZIA's Modern Slavery Statement is in alignment with the provisions of the UK Modern Slavery Act and the high standards by which PATRIZIA operates.

As a German business, PATRIZIA is also examining the implementation of human rights due diligence at corporate level in relation to the German federal government's National Action Plan on Human Rights. PATRIZIA's commitment to human rights is included in the Group's Compliance Handbook and is in line with the UN Global Compact Principles.



SECTION 8

Sustainability Outlook for 2022



Sustainability Outlook for 2022

2021 was another challenging year with COVID-19 continuing to cause disruption, and climate change being at the top of the sustainability agenda. PATRIZIA remains ambitious and confident for the future as it looks ahead in playing its part in the transition to a low-carbon economy. With rapidly evolving legislation and the global challenges we are faced with, PATRIZIA recognises the urgency of action. To work towards achieving our ambitious sustainability goals, we have a busy year ahead. In 2022 we will:

ROADMAP FOR 2022

Set annual goals within our ESG Committee to further drive the systematic integration of ESG across PATRIZIA.

Continue to develop and roll out our strategy for increasing data coverage, to enable further incorporation of ESG analysis in decision making, accurate goal setting, progress tracking and reporting.

Launch our first impact investment fund, and further develop our impact investing strategies.

Establish working groups and local expertise to implement our corporate net zero carbon strategy across our portfolios and assets, including decarbonisation plans and occupier engagement strategies.

Continue to drive forward initiatives to reduce energy and carbon intensity across our operational assets, celebrating and sharing best practice initiatives and innovations.

Further develop our analyses and understanding of climate risk in order to increase the resilience of our portfolios.

Consider best practice frameworks and initiatives for transparent and consistent disclosure of our progress and approach to responsible investment.

Drive forward initiatives for the learning, development, and wellbeing of our people, including equity, diversity, and inclusion.

As we prepare for regulatory and market development, we are committed to remaining aligned with our promise to futureproof our portfolio and ensure compliance and value preservation for our investors. We are also actively preparing to report and disclose further information in alignment with the EU Taxonomy and Sustainable Finance Disclosure Regulation.



Our Contacts

Aaron Scott
Head of Strategic Planning & Sustainability
sustainability@patrizia.ag

Julia Groenewold
Associate | Strategic Planning & Sustainability
sustainability@patrizia.ag



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